APPENDIX N1
DEED OF WARRANTY FOR PAINT SYSTEM
[PS Clause 18.98]

FORM OF SUB-CONTRACTOR'S WARRANTY
PAINT SYSTEM TO _____

THIS AGREEMENT is made the day of 20

BETWEEN

(1) ( ) whose registered office is at ( ) ("the Sub-Contractor"); and

(2) The Government of the Hong Kong Special Administrative Region ("the *Client*').

WHEREAS

(A) By a contract no. ( ) ("the contract") made between the *Client* and ( ) ("the *Contractor*") the *Contractor* has agreed to execute and complete certain works as more particularly described in the contract relating to the Paint System to ( ) ("the Works") upon the terms and conditions contained in the contract.

(B) The *Sub-contractor* has had an opportunity of reading and noting the provisions of the contract (save for those parts of a confidential commercial nature).

(C) By a contract dated ( ) ("the Sub-contract") made between the *Contractor* and the Sub-contractor, the Sub-contractor has agreed to carry out the Paint System forming part of the Works.

(D) Pursuant to the terms of the contract, the *Contractor* agreed to procure the provision of a warranty in the terms hereof by the Sub-contractor.

(E) At the request of the *Contractor*, the Sub-contractor has agreed to provide this warranty.

NOW IT IS HEREBY AGREED AS FOLLOWS:

1. All references in this Agreement to "the Paint System" shall be construed as comprising the design, supply, applying and testing of proprietary paint materials on ( ) and other preparation where necessary.

2. The Sub-contractor hereby warrants and undertakes to the *Client* that:-

   (a) it has executed and completed and will execute and complete the Paint System, and has carried out and will carry out each and all of the obligations, duties and undertakings of the Sub-contractor under the Sub-contract when and if such obligations, duties and undertakings shall become due and performable, in accordance with the terms of the Sub-contract (as the same day from time to time be varied or amended with the consent of the *Client*); and

(b) it will supply the *Client* with all information as the *Client* may reasonably require from time to time in relation to progress of the Paint System.

3. Without limiting the Sub-contractor's obligations and liabilities under Clause 5 hereof, the Sub-contractor undertakes to indemnify the *Client* against each and every liability which the *Client* may have to any person whatsoever and against any claims, demands, proceedings, loss, damages, costs and expenses sustained, incurred or payable by the *Client* provided that the Sub-contractor shall have no greater liability to the *Client* by virtue of its undertaking under this Clause 3 than the liability of the *Contractor* to the *Client* under the contract in so far as and to the extent that the same has arisen by reason of any breach by the Sub-contractor of its obligations, duties and undertakings under the Sub-contract.

4. Without prejudice to the generality of Clause 2 and 3 hereof, the Sub-contractor further warrants:-

(a) that the Paint System and the resultant work shall be suitable for use as part of the Works;

(b) that the Paint System shall remain in a good condition and in same thickness of each coat as specified for a period of ten years from the date of completion stated in the certificate of completion with respect to the Works issued pursuant to the provisions of the contract;

(c) the suitability of the Paint System for application and adhesion to the structure and any finishes applied thereto and the compatibility and adhesion between each of the layers of the Paint System so as to ensure that the structure is protected by the Paint System;

(d) that all necessary skill and care have been and shall be exercised by the Sub-contractor in connection with the Paint System and selection of all materials and goods related thereto; and

(e) that the Paint System shall conform to any performance specification or requirement applicable to the Paint System included or referred to in the contract.

5. (a) The Sub-contractor undertakes that in the event of a failure in the Paint System discovered at any time during the period referred to in Clause 4(b) hereof, it shall as soon as reasonably practicable after receipt of notification by the *Client*, carry out at its own cost all repair or replacement work including emergency and temporary works which is necessary in the opinion of the *Client* to ensure that the Paint System conforms to the warranties set out in Clause 4 thereof. All repair or replacement work including emergency and temporary works shall be carried out by the Sub-contractor at times as specified by the *Client* so as not to interfere with the proper use and functioning of the completed Works. In the event that such repair or replacement work is not carried out by the Sub-contractor in accordance with this Clause 5(a), the *Client* may, without prejudice to any other remedy, proceed to carry out such work by its own workmen or by other contractors and the cost properly incurred by the *Client* in having such work carried out shall be a debt due to the *Client* from the Sub-contractor and shall be paid to the *Client* by the Sub-contractor immediately on demand.

(b) The Sub-contractor undertakes to indemnify the *Client* against all losses and claims for injury or damage to any person or property whatsoever which may be caused by any failure in the Paint System to conform to the warranties set out in Clause 4 hereof and against all claims, demands, proceedings, damages, costs, charges and expenses whatsoever in respect thereof or in relation thereto.

(c) The Sub-contractor undertakes to make good or, at the option of the *Client*, pay to the *Client* the cost of making good any damage, loss or injury which may occur to any property of the *Client* and undertakes to recompense the *Client* in respect of any damage, loss or

injury which may occur to any employee of the *Client* caused by any failure in the Paint System to conform to the warranties set out in Clause 4 hereof.

(d) Provided that nothing in Clause 5(b) and (c) shall be deemed to render the Sub-contractor liable for or in respect of or to indemnify the *Client* against any compensation or damages for or with respects to:-

(i) failure in the Paint System caused by work which was not constructed by the Sub-contractor, or

(ii) failure in the Paint System caused by repair, maintenance or alteration to the Paint System (other than the repair or replacement work carried out by the *Client*'s own workmen or other contractors in accordance with Clause 5(a) hereof) done after the date of completion stated in the certificate of completion with respect to the Works issued pursuant to the provisions of the contract by persons other than the Sub-contractor or its servants or agents,

or for or in respect of all claims, demands, proceedings, damages, costs, charges and expenses in respect thereof or in relation thereto.

6. In the event of different certificates of completion having been issued for different Sections or parts of the Works or the achievement of Stages pursuant to the provisions of the contract, the expression "certificate of completion" shall, for the purpose of Clause 4(b) and Clause 5(d) (ii), mean the last of such certificates.

7. No allowance of time by the *Client* hereunder or by the *Contractor* under the Sub-contract nor any forbearance or forgiveness in or in respect of any matter or thing concerning this Agreement or the Sub-contract on the part of the *Client* or the *Contractor* may do or omit or neglect to do, shall in any way release the Sub-contractor from any liability under this Agreement.

8. The Sub-contractor agrees that it will not without first giving the *Client* not less than twenty-one (21) days' prior notice in writing exercise any right it may have to terminate the Sub-contract or treat the same as having been repudiated by the *Contractor* or withhold performance of its obligations, duties and undertaking under the Sub-contract.

9. (1) In the event that the contract or the employment of the *Contractor* under the contract is terminated for any reason whatsoever and if so requested by the *Client* in writing within twenty-one (21) days of such termination, the Sub-contractor shall carry out and complete its obligation under this Agreement and shall enter into a novation agreement with the *Client* and the *Contractor* in which the Sub-contractor will undertake inter alia to perform the Sub-contract and be bound by its terms and conditions as if the *Client* had originally been named as a contracting party in place of the *Contractor*. The said novation agreement will be in such form as the *Client* may reasonably require.

(2) In the event that the *Client* does not require the Sub-contractor to enter into a novation agreement as required by sub-clause (1) of this Clause, the Sub-contractor shall have no claim whatsoever against the *Client* for any damage, loss or expense howsoever arising out of or in connection with this Agreement.

10. In so far as the copyright or other intellectual property rights, in any plans, calculations, drawings, documents, materials, know-how and information relating to the Paint System shall be vested in the Sub-contractor, the Sub-contractor grants to the *Client* its successors and assigns a royalty free, transferable, perpetual, non-exclusive and irrevocable licence (carrying the right to grant sub-licences) to use and reproduce any of the works designs or inventions incorporated and referred to in such documents or materials and such know-how and information for all purposes relating to

the Works (including without limitation the design, construction, reconstruction, completion, maintenance, reinstatement, extension, repair and operation of the Works). To the extent beneficial ownership of any such copyright or other intellectual property right is vested in anyone other than the Sub- contractor, the Sub-contractor shall use best endeavors to procure that the beneficial owner thereof shall grant a like licence to the *Client*. For the avoidance of doubt, any such licence granted shall not be determined if the Sub-contractor shall for any reason cease to be employed in connection with the Paint System.

11. In the event of any ambiguity or conflict between the terms of the Sub-contact and this Agreement, the terms of this Agreement shall prevail.

12. The provisions of this Agreement shall be without prejudice to and shall not be deemed or construed so as to limit or exclude any rights or remedies which the *Client* may have against the Sub-contractor whether in tort or otherwise.

13. Nothing contained in this Agreement shall vary or affect the Sub-contractor's rights and obligations under the Sub-contract.

14. The *Client* shall be entitled to assign the benefit of this Agreement at any time without the consent of the Sub-contractor being required.

15. All documents arising out of or in connection with this Agreement shall be served:-

    (1) upon the *Client* at Highways Department, Major Works Project Management Office, 6/F, Ho Man Tin Government offices, 88 Chung Hau Street, Ho Man Tin, Kowloon, Hong Kong marked for the attention of Chief Engineer ( ); and

    (2) upon the Sub-contractor, at ( ) Hong Kong.

16. The *Client* and the Sub-contractor may change their respective nominated addresses for service of documents to another address in Hong Kong but only by prior written notice to each other. All demands and notices must be in writing.

17. This Agreement shall be governed by and construed in all respects according to the laws for the time being in force in Hong Kong.

18. (1) Any dispute or difference of any kind whatsoever between the *Client* and the Sub-contractor arising under out of or in connection with this Agreement shall be referred to arbitration in accordance with the provisions of the Arbitration Ordinance or any statutory modification thereof for the time being in force and any such reference shall be deemed to be a submission to arbitration within the meaning of such Ordinance. The reference shall be a domestic arbitration for the purpose of Part II of the Arbitration Ordinance. The Hong Kong International Arbitration Centre Domestic Arbitration Rules shall apply to any arbitration instituted in accordance with this Clause 18 unless the parties agree to the contrary.

    (2) In the event that the *Client* is of the opinion that the issues in such as dispute or difference will or may touch upon concern a dispute or difference arising under out of or in connection with the contract ("the Contract Dispute") then provided that an arbitrator has not already been appointed pursuant to Clause 18(1), the *Client* may by notice in writing to the Sub-contractor require and the Sub-contractor shall be deemed to have consented to the referral of such dispute or difference to the arbitration to whom the Contract Dispute has been or will be referred.

    (3) Save as expressly otherwise provided, the arbitration shall have full power to open up, review and revise any decision, opinion, instruction, notice, order, direction, withholding of

approval of consent, determination, certificate, statement of objection, assessment or valuation of the *Supervisor* as defined in the contract or the *Contractor* relating to the dispute or difference.

IN WITNESS whereof this Agreement has been executed as a deed on the date first above written.

(a) SEALED with the COMMON SEAL of)
( ))
and SIGNED by)
)
)
*……)
Director)
)
in the presence of:)
)
*……)
Director / Secretary)

OR

(a) SEALED with the COMMON SEAL of)
( ))
and SIGNED by)
)
)
*……)
Director)
)
in the presence of:)
)
*……)
Director / Secretary)

OR

SIGNED, SEALED AND DELIVERED by	)
the *Client* by	)
( )	)
Chief Engineer/( )	)
Highways Department	)
in the presence of:	)
	)
Senior Engineer ( )	)
Highways Department	)
6/F Ho Man Tin Government Offices	)
88 Chung Hau Street	)
Ho Man Tin	)
Kowloon	)
Hong Kong	)

Notes (For preparation of but not inclusion in engrossment of this Agreement)

1. This definition should be the same as the description of the "Paint System" as adopted in the contract.
2. The warranties in Clause 4 should mirror the warranties with respect to the "Paint System" given by the *Contractor* in the contract.
3. If the Sub-contractor comprises a partnership, each member thereof must execute.
4. Delete whichever is inapplicable.